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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

What Happens Now?

February 13, 2019

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Last Week's S&P 500 Index:
+0.1%

Key takeaways

- *After the big rally from the Christmas Eve low, stocks are likely to give back a bit of their gains or pause at the very least.*
- *While we recommended taking a bit of risk out of portfolios, we continue to lean toward a continuation of the expansion.*

Based on the February 5 intraday high, the S&P 500 Index jumped 16.5% higher from the Christmas Eve closing (panic) low. And "jumped" is putting it mildly. The small-cap Russell 2000 surged nearly 20% over that same time frame. Of course, domestic small-capitalization stocks underperformed their large-cap cousins during the selloff that occurred over the first three weeks of December. December was not a fun month for any of the equity asset classes we closely follow. But January, clearly, was much better.

So the question is, what happens now? The underlying macroeconomic factors have not changed much. Investors are still concerned that a meaningful slowdown in economic growth lies ahead. Recent data appear to support that to some extent. A closely linked sub-factor, trade friction between the U.S. and China, will potentially produce some positive outcomes over the next several weeks, but nothing solid is guaranteed at this point. And that has market participants on edge. Our base case is that global economic growth does ok, and over time, we see a positive end to the trade dispute with China.

From a valuation perspective, the S&P 500 trades at a reasonable 15.7x our $173 earnings-per-share estimate for this year. That is below the 30-year trailing average of 16.7x. But our reading of the tea leaves suggests stocks might take a time out or pull back a bit in the nearer term after the big rally over the last six weeks. Note that last week's high brushed against the 200-day moving average, which we would consider meaningful resistance. We have often commented that traders have largely been in control of the equity market since the middle of 2017. We would argue that the market will likely have a difficult time eclipsing this level in the short term without some type of catalyst or positive event to push it through. A reasonable agreement between the U.S. and China on trade by the March 1 deadline could very well qualify.

It appears that right now the stock market is in a wait-and-see mode. In response to the big rally in small-cap domestic stocks and a desire to, for now, take a little risk out of portfolios, we reduced our guidance on this asset class to unfavorable from neutral. Small-cap stocks are historically much more volatile than large- or mid-caps. From a sector perspective, we continue to lean toward large-cap sectors that we expect will benefit from a continuation of the recovery and higher stock prices after taking a breather.

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Definitions

Russell 2000® Index measures the performance of the 2,000 smallest companies in the Russell 3000® Index, which represents approximately 8% of the total market capitalization of the Russell 3000 Index.

S&P 500 Index is a market capitalization-weighted index composed of 500 widely held common stocks that is generally considered representative of the US stock market.

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